



The oil crisis that struck Western countries in 1973–1974 was the result of the Yom Kippur War. Fuel rationing in the US led to scenes such as this, with motorists getting stranded.

The post-war economic planners sought a new economic order based on industrial strength and a stable dollar. In 1944, the International Monetary Fund (IMF) was formed to foster the revival of global trade. The US's strong post-war economy and the Marshall Plan of 1947, a US-led initiative to aid Western countries, invigorated world trade through encouraging capitalism and the free exchange of goods between nations. Signed in 1947, the General Agreement on Tariffs and Trade (GATT) dictated that tariffs be removed to open up markets around the world.

The Asian tiger

Japan, meanwhile, saw massive economic growth. The Japanese government implemented reforms based on efficiency and restricted foreign imports. They did not sign up to the GATT agreement until 1955. Japan invested in its coal and steel industries, as well as shipbuilding and car manufacturing. In the 1960s, Japan specialized in high-tech products such as cameras and computer chips. Countries such as South Korea, Taiwan, Singapore, and Malaysia experienced similar growth with an emphasis on electronics and technology. These successes became collectively known as “Asian tiger economics.”

The role of oil

By the 1970s, the world was divided between rich industrial countries and poor developing nations, and oil had become

increasingly important. In 1960, the Organization of Arab Petroleum Exporting Countries (OAPEC), including Saudi Arabia, Egypt, Iraq, and Iran, was founded. As oil reserves in other countries dwindled, the states around the Persian Gulf, where this resource had remained plentiful, became dominant. In October 1973, when Egypt and Syria invaded Israel during the Yom Kippur War, OAPEC embargoed oil to any country helping Israel, and prices tripled. Without oil, industrial output dropped. The United States introduced strict fuel rationing, which ended in March 1974, when the oil embargo was lifted.

A new economic model

The oil crisis in the mid-1970s led to a deep global recession, soaring inflation, and high unemployment. In response, a new “neo-liberal” economic policy was adopted, transferring control of economic factors from the public to the private sector. Welfare programs were perceived to be one cause of economic failures, and there were drastic cutbacks. Deregulation became the driving force behind world economics, sweeping away many governmental controls and freeing up organizations to trade across a wider range of territories. The need for this was particularly felt in the United States, which faced stiff competition from a world now fully rebuilt from the destruction of World War II. Some of the rigid laws and regulations that had been put in place to protect consumers were now considered to be interfering with free enterprise.

The global push for deregulation resulted in the adoption of new markets, greater competition, and openness, especially as the world adapted to the end of the Cold War and the collapse of the Soviet Union. The example set in east Asia influenced policy makers in other Asian countries, such as India and China. Mexico and Brazil lowered their barriers to trade and embarked on economic reform, leading to a dramatic improvement in living standards. As East and West Germany reunited in 1989, after the fall of the Berlin Wall, the European Union (EU), an economic union of 28 European countries, emerged as a major